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YALE POLITICAL MONTHLY

March 1981 Vol. 2 No. 2

Carrying On The Fight For Tuition Tax Credits

Daniel Patrick Moynihan

Defending The Electoral College: An Attack on Misguided Majoritarianism

Josh Davidson

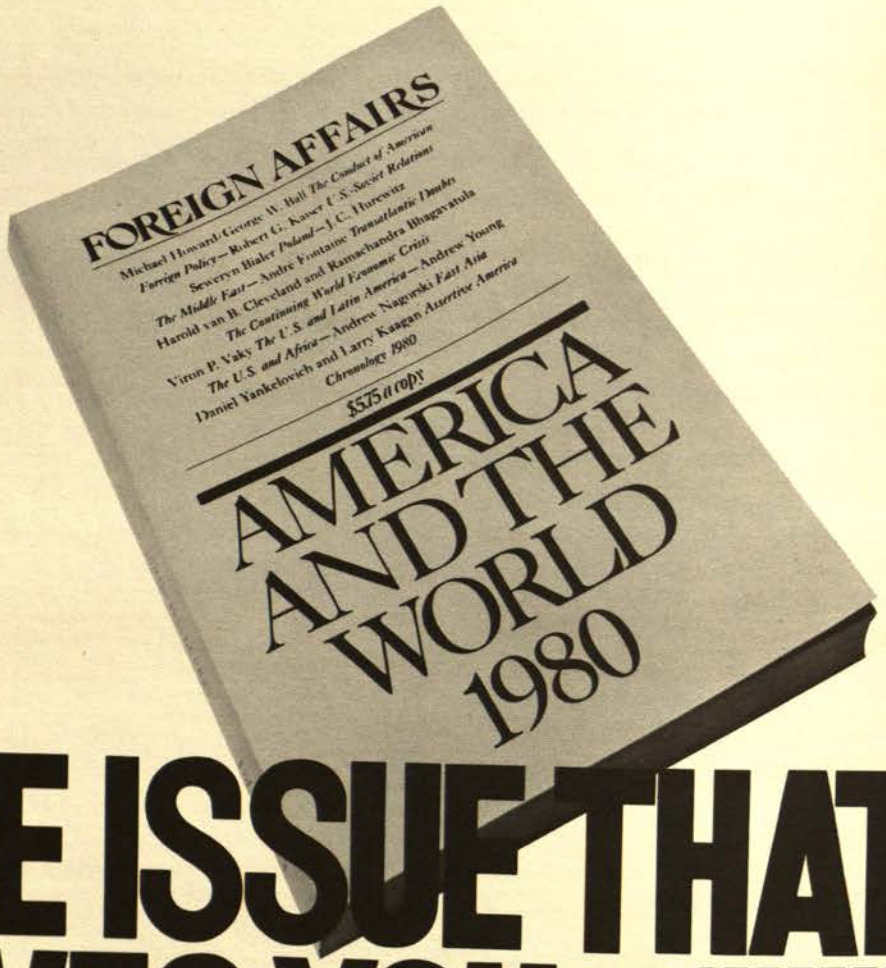
Schumpeter And The Future Of Capitalism

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Words Of War

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Contents

Carrying On The Fight For Tuition Tax Credits 4

Daniel Patrick Moynihan

Defending The Electoral College: An Attack on Misguided Majoritarianism 8

Josh Davidson

Schumpeter And The Future Of Capitalism 11

Alexander Troy

Words Of War 15

Jefferson Morley

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Carrying On The Fight For Tuition Tax Credits

Daniel Patrick Moynihan

(Daniel Patrick Moynihan has been one of the most articulate and persistent advocates of Federal tuition tax credits for parents who pay to send their children to private and parochial schools. He has co-sponsored the tuition tax credit bills in the United States Senate. The following remarks are taken from an address Senator Moynihan gave to the Catholic League for Religious and Civil Rights upon receiving its first Man of the Year Award.)

The French theologian Banano wrote in 1938 that "the most corrupting lies are problems poorly stated," and I think I am going to address myself to that theme: to the suggestion that in seeking support for the non-government schools, the non-public schools of this country, in some way we are opposed to the public schools. To define the problem that way is to be profoundly mistaken, and I think that we have first to address ourselves to those who don't see it in that frame. It is now four years since I first introduced legislation to provide federal assistance to students attending non-government schools. In that time, I have brought two measures to the floor of the Senate. We have lost them both. In August 1978, the elementary and secondary school's portion of the tuition tax credit was defeated by a vote of 41 to 56.

I have to tell you that it almost didn't lose—little known history. The House did pass it and the bill came back to us in the Senate in the closing hours of the 95th Congress. We had been in session about 60 hours, and it was about four in the morning when the bill came up, and it was made very clear that there would be a filibuster if it was going to be contested. So I just presented the bill, which was my job as manager. I did not ask for a roll call because there were enough floor attacks that night anyway and it was four in the morning, so I just asked for the yeas and nays and then there was a rather desultory set of yeas and equally desultory set of nays. I had an inspired notion which was to ask the presiding officer for a division (when it is not clear who is ahead on a yea–or–nay you can ask for a division in which the persons involved stand up). No one knows it to this day, but we lost by three votes. There wasn't a truly representative floor at the time, but if three more people had been asleep we would have tuition tax credits.

Then this June I moved to amend the basic economic opportunity grants program to provide tuition assistance to low–income students in elementary and secondary school, and lost 24 to 71. A very resounding defeat.

Daniel Patrick Moynihan is the Democratic Senator from New York.

I have not lost my resolve in this matter because there is a fundamental issue of social justice involved here. But it also is clear to me that there is something to be learned from our experiences of the past four years: this view is not presently shared by a majority of the Congress. But first, something about our experiences from the last 170 years. If I am not mistaken the first diocesan school opened in 1810. They precede the public schools. Non public schools are not newcomers to this society—we have been here from its beginning—and four years is one portion of our learning, but two centuries is the more relevant time reference. And that would be the first of my points: that despite two centuries of the existence of our schools, it is simply not widely understood or accepted that our schools are public institutions in every sense, save the auspices under which they operate. If it *were* understood, one doubts that the National Coalition to Save Public Education—an alliance of 34 large organizations, most of them well known for their progressive views, an alliance which was formed to defeat tuition tax credits—would have stated (as it did in a letter to the Senators on August 4, 1978) that:

> "Aid to non-public schools carries with it the danger that public funds will be used to support sectarian purposes or ideological viewpoints in violation of the Constitution and American principles."

Now let us be charitable into the very last moment, but let nobody suggest that we are not Americans, too. We are. What kind of talk is that?

And the second impression, which I think is a more powerful one with respect to the first, is the idea that there is a "zero sum" game being played between public and non-public schools. A "zero sum" game is one in which if I win you lose but if you win I lose—there is no expanding of the resource. This, however, has become a very powerful idea: that these are competing institutions, rather than complementary ones, that have a distinct but mutually-reinforcing place in the nation's educational system.

This idea has been accepted by the senior officials of the executive branch of the federal government. Last April 28, Secretary Hufstedler of the Department of Education wrote that the very small program of Basic Education Opportunity Grants (Baby Beogs as we called it) "would have an adverse impact on public elementary and secondary schools." It would hurt the public schools to aid the children going to non-public ones. In the floor debate that followed, this letter was a

very basic proposition: the Secretary of the Department concerned said "No" to this, that it would hurt other people—that was the idea, not that it would help some but that it would hurt others. I had made the point that only a modest sum of money was involved, within the budget limits, unlike the tuition tax credits, which had been a big sum of money. My colleague and friend who led the debate opposite me and who won—and let me be short and clear that I lost—rose and said:

"Let us say if it was $1 million or $1 you would have to oppose this for exactly what it is. That is, to destroy public education, discriminate against the minorities and the disadvantaged and totally to abandon the needy in America."

That is a large statement about our schools, and it is no so much that it was made that troubles me, but that no one who was against our proposal (and you could be against our proposal on 40 grounds) could stop and say, "Look, I am not for this proposal, but I do not agree with that characterization; that's not so." It is a question of fact. The Catholic League for Religious and Civil Rights has just produced a film, "Miracle in the Inner Cities." There are facts here.

Professor Thomas Sowell, at UCLA is an economist, a very distinguished economist. (I am sorry we have gotten to this point in life in our country where we have to say "a black economist.") After some very careful research on what works and what does not work in education, he wrote not long ago:

"One of the great untold stories of contemporary American education is the extent to which Catholic schools, left behind in the ghettoes by the departure of their original white clientele, are successfully educating black youngsters there at low cost . . . It is, incidentally, not uncommon for a majority of black youngsters in Catholic schools to be Protestant . . . These are public institutions."

Why does this story remain untold? When we look for some sense, particularly in education (we are a country that is very interested in sense, in arrangements that work, or that seem to give great promise) why does no voice rise, at least in demurral, when things are said that are not so and ought never to be said in a polity of any civility and common purpose? I don't know. One of the reasons is the third which I will address: the idea that this aid is unconstitutional. This is a very new idea in American life. It appears in the Supreme Court in 1948. It was not something laid down by John Marshall. It is a very new notion that the question even arises, but it has been a great obstacle to our making our case. Whenever the question arises of aid to the non-public school, the issue of constitutionality is interposed, and people say "I cannot support that; I won't be for that, because it is not constitutional." Yet it ought to be elementally clear, that you will never learn whether a law is constitutional under our arrangements until you pass it. And then the Supreme Court will tell you. We are not obliged to agree with the Supreme Court; our obligation is to obey it. And we will obey it with prayerful thanks for the civil order it has given us, but we have a right to hear it. We have a right for the question to be adjudicated, and it is not an intellectually honest position to say, "I might be for you, maybe, but I cannot because you see it is not constitutional." It is not clear at all. Of all the arguments presented, this is the one that is weakest.

Antonin Scalia, who in the preceding administration was the Assistant Attorney General involved in constitutional questions, has put it very simply: that this is an area of "utter chaos and rapid change" in the court system.

The Supreme Court has reached the point of scandal in this matter. Men in their Judicial garb solemnly inform us that the constitution says you may provide textbooks to the students in non-public schools but you may not provide maps. Then you get to the questions of what about an atlas, which is a textbook of maps, and they say that this is not the question that is before us, but we will be here next term. In all truth, I say to you that the Court is wrong in this matter. And I say to you something else: the Court has been wrong over and over in its history; not in the sense that *you* think it is wrong, or *I* think it is wrong, but in the very explicit sense that the Court subsequently states, "*we were wrong* and we have changed our mind." That is the sense in which one speaks of the Court having been wrong.

There is some ink-stained wretch now getting her Ph.D. whom I think in this case has figured out that there are about 64 specific reversals in the history of the court. Just to remind you in case there is nobody here who was around when Loman v. NY was handed down by the Court in 1910, Loman v. NY held unconstitutional a NY State law which regulated the hours of work in bakeries, and said you may not work more than ten hours a day in a bakery. A baker in Utica, NY, sued, and the Supreme Court declared this law unconstitutional. The law interferes with the right of the worker to freely contract for his labor. And it deprives him of his rights under the Fifth and Fourteenth Amendments.

Mr. Justice Holmes, then on the Court, said that the Fourteenth Amendment does not enact Mr. Herbert Spencer's social standards, but the Court thought it did and for 40 years went on saying so. Then the day came when it said, "That is not so; everything we said to everybody is wrong." It was immediately evident in 1910 that the Fourteenth Amendment had nothing to do

with the hours that people worked in bakeries in Utica, NY. Not by any possible extension could you do that unless you were of a mind to for other purposes all together, and then when a generation changed, and minds changed, it became clear that it was absurd.

It became clear that Plessy v. Ferguson was absurd (to speak on a matter that comes very close to our concern of schools). Plessy v. Ferguson in 1896 was repealed by Brown v. Board of Education of Topeka in 1954, when the Court said, "We were wrong. We reversed that. It was not right, it was a wrong decision and we now correct it." I stand here and say to you with a confidence that no scholar should perhaps assert too frequently, that I was not a professor of government at Harvard University because I am fuzzy about things like this. The First Amendment says *nothing* about aid to parochial schools. It speaks about an establishment of religion and says there will not be one. It says there will not be one, not because people thought an establishment of religion was such a great offense against liberty, but for the simple political fact that of the thirteen states in the Confederation, soon to be in the Union, seven *had* established churches, but alas there were four different denominations. If you were trying to put together this little fragile institution or arrangement called the United States of America, the last thing in the world you wanted the Congress to do was to pick one of the four. I mean you would just pick. It was not a hard thing to do. And so they said that the Congress will not make any law respecting the establishment of religion. That's all! They said nothing about these other things. Only by the most absurd extension of that notion do we get to this warm separation, in a letter which Jefferson, who wasn't at the Constitution Convention, wrote to the *Danbury Baptist* at least 12 years later, but in any event it is not in the Constitution.

We forget that in those old days it got hot in Philadelphia, and they did not spend a great deal of time on the issue. The whole First Amendment, for what it is worth, was debated for about one day in the House and one day in the Senate. The day after the House adopted it it sent a petition to President Washington asking him to proclaim a day of Thanksgiving, and the same thing happened on the Senate side. The President's proclamation of Thanksgiving was the most overtly religious proclamation you could imagine. That is what Thanksgiving was: a religious occasion.

To say that there is anything in constitutional history or the Constitution that prohibits this language is simply wrong. As a matter of fact, for the first time we are beginning to hear this from the Federal bench. In a case decided in the Third Circuit last year, a case involving tuition tax credits in New Jersey, the court finally adopted an income tax (note the political person's saying that they did not impose an income tax, they adopted an income tax), but as part of easing the pain New Jersey adopted a tuition tax credit system. That was struck down by the District Court and it went to the Circuit Court. The court said, "Look, we are asked to decide whether this particular case before us is controlled by the Supreme Court's ruling in the matter and the answer is, that it is." Then a rather exceptional thing happened; Judge Weiss, a Judge of the Court, asking about this said, "How has this policy of Judicial hostility toward state aid to non-public schools arisen?" He said he didn't find it in the Constitution. He found the Supreme Court's decisions extraordinarily complex and unconvincing. He was bound by them, but he took judicial note that they did not persuade him one bit, and I happened to know that Judge Weiss wrote that in response to reading the Senate debate of tuition tax credits. We are beginning to make our point by argument.

My fourth point is that the political parties have responded to our efforts to make this an issue of public policy. In 1976 the Democratic Party platform said, "The party renews its commitment to the support of a constitutionally acceptable method of providing tax aid for the education of all pupils in nonsegregated schools in order to insure parental freedom in choosing the best education for their children." The Republican platform was more explicit; it said, "We favor consideration of tax credits for parents making elementary and secondary school tuition payments." Let me go back a moment. I am disposed to think the Democratic Party more important then the Republican Party, and it is, in the simple sense that it is in control of the Congress, has a majority in the Congress, and will in the next Congress also. And I wrote the 1976 plank and I want to say here to those of you who are interested in the subject and those of you writing about it, that it was not just casual language that says the Party renews its commitment to the support of a constitutionally acceptable method. Renews its commitment. Because there is a history here, and it is a history that should be better known.

When President Kennedy went to Washington he proposed, as President Truman had done, a program of federal aid to education, elementary and secondary. This was largely a question of public policy should there be any such thing, and it broke down along the liberal/conservative lines. But this time there was something special; the persons who thought there should be aid to parochial schools, non-public schools, parish and neighborhood schools, said they ought to be included, and the White House said "No" that cannot be done. The bill did not pass. It did not come out of the

Rules Committee. Then came 1964. The President had been assassinated, President Johnson was there, we had larger hopes about social programs then we had had for a very long time. So the question was "What do we do about education?" It fell to me—now let me be clear that I can be refuted in this—to try to negotiate between what was then the National Catholic Welfare Conference and the Department of Health, Education, and Welfare. We worked out an agreement that if a sentence were placed in the Democratic Platform that we proposed aid to all children and all schools within the constitutionally permitted boundaries, that far from opposing this legislation the U.S. Catholic Conference would actively support it. Well, I wrote the sentence and it was put in the 1964 platform and the Elementary and Secondary Education Act of 1965 was law by March the following year.

There wouldn't be any Federal aid to education without the support of this community. There would not be any. But that commitment wasn't kept. It was not kept. It very quickly appeared that while we were in favor of all the aid that was within constitutionally permitted limits, there was no aid within constitutionally permitted limits excepting for textbooks but not maps, for bus trips but not field trips. There is more.

So in 1976 we renewed it and the President endorsed it and in 1980 we renewed it again. I spend my life writing this plank in the Democratic platform. The Republican platform is once again yet more explicit: "We reaffirm our support for a system of educational assistance based on tax credits." That is very explicit. Ours simply says the party accepts its commitment. We now know we have had this commitment a long time—to the support of a constitutionally acceptable method for tax aid for education.

I know President Reagan has spoken to this point, very openly and very explicitly, and I have to say that former President Carter, a week after accepting the platform at the Democratic Convention in New York, went to Detroit, where he discarded tuition tax credits as a proposal that "would undermine public education." As those of us who follow this subject will recognize, this is by far the most extreme statement of opposition that has yet come from any President, because after all any proposal that will undermine public education would love to be resisted not just by the President but by every Senator and every Representative and every citizen.

I do not know how much the former President understood what he had said. Now I do not hold Ronald Reagan accountable for half the things *he* says. It is not the easiest thing to be shuttled back and forth to these meetings, but President Carter does fit this language. It is familar language to him; we all recognize that language. I think we have to ask him if he really appreciated the implications of it. Ask him to talk to us, ask him to let us say why we think this is not so, and let us hear him and why he thinks it is so. What does he mean by that phrase? What do you mean "undermine?" How, where, why. I think we have got to think dialogue in this. Much is going to be asked of us in the next few years here. I hope we don't become angry. I hope we see this as civil rights issues ought to be seen. As one in which because we are right we will prevail, in a society which does the right thing; which is a just society, a complex one; full of fears, full of divisions, but a good society. I think we will prevail if we present our case. I think our argument will succeed. I hope we go about it in the sense that we have truth with us and can persuade others of this truth. You would think that is perhaps over optimistic, but I don't. Just the other night I ran into an old friend, Bill Rogers, who was Secretary of State in the 1960s, and I reminded him of a story he told me one day that he had almost forgotten. He arrived in the White House—I happened to work in the White House at the time—when he came to his job he found that each morning as part of his day's routine a young Foreign Service officer would brief him on the preceding 24 hours around the world. In the language of gain theories, this was stress analysis in worst possible case conditions. Each day it appeared that something was going wrong and almost invariably the U.S. was to blame. This went on and on, until one day Rogers said don't you have any good news?—and the young man went through his papers and said, "Secretary, there is an item here that the Aswan dam is leaking.

"As you know, you can make the most of the worst. I think we are going to prevail. I would hope that we would go about a fundamental struggle in which there would be genuine commitment, but in the mood and in the manner of a people who have been at this enterprise for two centuries. A people confident in the right that they represent, but who are not angry at the society which for the moment does not see the right . . . because it will. We are going to succeed, and let us hope that this is a triumph for education, for children, and not in any sense a triumph of particularity or partisanship or anything else that would diminish this noble purpose.

Defending the Electoral College:
An Attack on Misguided Majoritarianism

Josh Davidson

Though Senator Birch Bayh will not be introducing legislation in the Ninety-seventh Congress, it is a fair bet that someone will take up his cause to abolish the electoral college and to replace it with the direct election of the president. There are on Capitol Hill proponents of alternative methods of electing the president, but they are significantly outnumbered by the supporters of direct election.

Reading Senate Joint Resolution 1 and the majority report of the Judiciary Committee attached to it, one is struck by their failure to appreciate or acknowledge their radicalism. The arguments expounded in favor of abolishing such a venerable institution are not philosophical or political. One does not encounter an explicit refutation of the principles of our Constitution; one does not discover evidence adduced to prove that the American polity has been injured. Rather, one is warned of the dire possibility of democracy being "subverted" in the future, and to support this claim minor technical defects are magnified into fatal flaws and reliance on mathematical possibilities substitutes for an understanding of the complexity of the American political system.

Senator Bayh has argued that the electoral college makes possible the election of a president who does not command a majority, or even a plurality, of the popular vote. This is certainly true and it has happened. Why this occurrence would necessarily subvert democracy Bayh and the majority report do not undertake to explain; presumably it is because the "will of the majority" would somehow be frustrated. However, it is wise to investigate Bayh's charge a little more carefully.

The three elections in American history in which the winner of the electoral vote did not command a plurality of the popular vote were affected by unusual circumstances that no longer exist. In 1824, there were only twenty four states, six of which assigned the responsiblity for choosing electors to their state legislatures. The two-party system had not been established; in fact, there were four major candidates, none of whom came close to commanding a majority. It seems strange to argue that the will of the people was frustrated by the House of Representatives when it elected John Quincy Adams instead of Andrew Jackson. Jackson may have won 44 percent of the popular vote; but that means that 56 percent of the people did not want him for president but wanted somebody else. The elections of 1876 and 1888 were riddled with fraud. In 1876, for example, the Congress in joint session disputed the election returns of Florida, Louisiana, South Carolina, and Oregon and awarded these states to Hayes. It is interesting to note that the people at the time did not believe democracy had been subverted. In the forty-nine presidential elections in United States history, forty-six of them produced presidents who had won both the electoral and popular vote. It has been nearly 100 years since what Bayh so dreads has happened. Considering the general instability of political systems in the modern world, this is an enviable record of consistency.

Bayh not only relies on a shaky historical interpretation, but he also plays games with numbers in an attempt to show how the electoral college can distort the popular will. He points out that a candidate could win the election by winning the eleven most populous states by one vote without polling any votes in the other thirty-nine. Thus he would be elected without about 25 percent of the vote. This may be a theoretical possibility but hardly a likely one. Nor is Bayh's proposal for direct election of the president immune from this type of game playing. As George Will points out, under direct election a candidate could become president by sweeping all of Alaska's popular vote and losing the popular vote in every other state by a margin of several thousand. This too may be a possibility but one does not indict institutions or ideas on such grounds.

One bugaboo of the reformers is the so-called faithless elector who votes for a candidate other than the one he was chosen to support. Roger MacBride may have voted for Ronald Reagan when he should have voted for Richard Nixon, but one would have a tough time defending the position that the continuance of our democracy was thereby threatened. In fact, of the roughly 17,000 electors since 1789, only about 10 have not voted for the candidate who won their state. But this minor technical defect can be repaired without attacking the fundamentals of the electoral college; the office of the elector can be abolished without disturbing the current system of apportioning electoral votes.

The Judiciary Committee majority report contains some arguments supported by logic of dubious validity. It finds inherently unjust a system that awards all the electoral votes of a state to the winner of the popular vote, regardless of the margin of victory. This means, says the report, that everyone in effect votes for the winner. But on a national level the report embraces the winner-take-all concept which it attacks on a state level. The winner in a direct election may have a

margin of victory of one vote, yet he is 100 percent the president. The voters who opposed him are not disenfranchised for the president represents them as much as he does his supporters. If there is something morally wrong with the concept of winner-take-all, then there is something wrong with majoritarianism.

It is also attested that the electoral college perpetuates one–party control over states. If one party is dominant in a state, so the argument runs, the other party will not bother to canvass for votes since it gets no electoral votes in a defeat. There is a confusion here between state and national politics. The elections of 1972 and 1980 ought to show that even where people elect Democrats at a state level, they will often vote for a Republican president. The question of state rule by party is irrelevant to this discussion.

Whereas the electoral college prompts candidates to campaign in the most populous states, it is not likely that a change to direct election will increase the attention paid to smaller states. Rather, the opposite might occur, since small states at the present time have a larger voice in the electoral college than their population warrants. This is so because the small states as well as the large ones have two senators. If the electoral college is abolished, the small states will suffer. So, for that matter, will rural areas. For a candidate to win New York under the present system he must win votes in rural upstate areas as well as in New York City. But under direct election, he would more likely ignore less populous rural areas for cities with a higher density of population. The claims the Senate report makes in regard to the beneficial effects on small states of a switch to direct election are open to question.

For all his concern about faithless electors, one-party domination of states, and the eleven swing votes, Senator Bayh is primarily interested in diluting American Federalism with majoritarian democracy. He does not, however, have a well defined vision of such a democracy. He may talk about the will of the country, but this is a slippery concept when only half of the eligible voting population goes to the polls. Thus, American presidents generally have an actual mandate of a quarter to a third of the electorate. This is not exactly majoritarian democracy. Nor is Senator Bayh's piece of legislation strictly committed to majoritarian rule, for it allows a candidate with a 40 percent plurality to win the election. He does not explain how a president who wins 40 percent of the vote in a three-way race is more representative of the popular will than one who wins with 49 percent of the vote in a two-way race under the electoral college system.

Another problem with Senator Bayh's majoritarianism is his failure to acknowledge that even the candidate who wins a majority of the popular vote is not necessarily representative of the will of the electorate. All that can be said is that the voters think he is more representative of their wishes than is his opponent. That there may be a third man elsewhere whom the people would find preferable is irrelevant because he is not in the race. The voters, after all, only make the final choice on who is to become president. The political parties have a very large say as to the field of presidential candidates from which the electorate may choose. Political parties are obviously undemocratic institutions in that they deny the people the opportunity to make direct political decisions by majority vote. However, they are democratic in the looser sense of the word in that they contribute to the efficient running of a free country.

American democracy is based on principles other than arithmetic majoritarianism. The United States is, as any high school student knows, a federal republic, comprised of states with diverse interests and minorities with diverse interests. The electoral college forces candidates to pay attention to the special needs of these states and groups. Walter Berns wrote recently in the *Wall Street Journal* that, "so long as a minority is not distributed evenly throughout the country, but is concentrated in particular states, it is in its interest to oppose direct popular elections." To win the state the candidates must woo the minorities. In a direct election minority interests are more difficult to perceive. Regional interests would be accorded less prominence, too. The electoral college allows each eligible citizen an equal vote for president; it also allows states and minorities some degree of influence in this selection.

The electoral college is anti-democratic only in an arithmetic sense. It is democratic in that it helps protect the rights and interests of the states and of various numerical minorities in them. In this regard it is like the Senate, an even more arithmetically undemocratic institution. Wyoming and California have an equal voice in the Senate though their populations are vastly different. No one hears Senator Bayh calling for the dissolution of the body he served in for so long because it violates the concept of "one man, one vote." If the electoral college and/or the Senate are threats to democracy, one would think that they would have deprived Americans of their fundamental freedoms years ago. That this has not happened is perhaps a testament to the skill with which the founders of our country blended aristocratic elements with democratic ones to create a stable free society.

Direct popular election threatens the two-party system which has given so much stability to our political process. It would do so by encouraging ideological

third parties which are currently hampered by their inability to win a plurality in any state. Under a system of direct election, these parties could hope to gain leverage by denying a majority to any candidate. There are those ideologues of course who see this as a positive gain, but it would be a radical departure from a tradition which has performed well. Alexander Bickel wrote in favor of the two-party system:

> The dominance of two major parties enables us to achieve a politics of coalition and accomodation rather than of ideological and charismatic fragmentation, governments that are moderate and a regime that is stable.

Bayh finds no argument with this point and does not want to encourage third parties. On the contrary, he criticizes the electoral college system for promoting sectional candidates like George Wallace. It is hard to believe, however, that Wallace would have been deterred from running by direct popular election. Furthermore, the electoral college prevented him from attaining success partly because of the fact that he was a sectional candidate. If Senator Bayh's proposal had become law, Wallace would have come close to forcing a runoff election. This would have given him a terrific influence on the outcome of that election.

The electoral college ensures that the president is responsive to the special needs of the various states and minorities. It also helps preserve our stable two-party system. Theoretically it could thwart the "will of the majority," but our republican government is replete with checks on majoritarianism. Berns writes:

> The American idea of democracy cannot be expressed in the simple but insidious formula, the greatest good for the greatest number. What the greatest number regards as its greatest good might very well prove to be a curse to those who are excluded from it.

Historically, the "will of the majority" regarding the choice for president has rarely differed from the will of the people voting by states. Even if this were not so, one would hope the reformers of the future, unlike Senator Bayh, would recognize the complexity of the American polity and not be guided by a simple majoritarianism.

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Schumpeter and the Future of Capitalism

Alexander Troy

In an age that reveres and relies on experts so strongly, the prestige of economists has been on the decline since the advent of stagflation and the recognized inability of neo-Keynesian economics to administer to the problems of the American economy. Our current economic malaise has been more persistent and inexplicable than any problem since the Great Depression, and it has renewed the issue, prevalent during the Depression, of capitalism's viability. Indeed, former President Carter's stewardship of the economy was so inferior to his predecessor's that Carter supporters invoked the defense that the economy's afflictions stem from causes that are beyond even the President's ken. The implications of such a contention are so important that it is worthwhile considering whether any alternative economic analysis indicates that the economy's uneven performance of the past twelve years is part of an ongoing, irreversible process. At the very least, such an analysis, if deemed reasonable, would indicate to the American electorate what can be expected from President Reagan.

Two outstanding economists, Karl Marx and Joseph Schumpeter, have predicted that the capitalist system will ultimately bring about its own destruction. Marx's *Das Kapital*, and Schumpeter's *Capitalism, Socialism, and Democracy* outlined arguments with similar themes and an identical conclusion: capitalism's evolutionary nature upsets the social and political structure which supports it, so that self-destruction is inevitable. However, much of the theoretical structure of Marx's arguments has collapsed in light of the subsequent political, economic, and social developments in Western capitalism. The evidence that can be adduced to support Schumpeter's work is hardly conclusive but unlike Marx's arguments, his model for capitalism's demise has not yet been rendered obsolete by subsequent trends.

Although Schumpeter's work does not focus on the two economic variables that preoccupy politicians, inflation and unemployment, it does explore trends that many distinguished economists consider more fundamental to capitalism's performance. A review of Schumpeter's theory is a necessary prerequisite to an evaluation of its explanatory success and its implications for the political agenda. The crux of his argument hinges on the Marxian concept that capitalism engenders the increasing concentration of business. Although Schumpeter employs this Marxian premise as the starting point of his analysis he immediately parts company with Marx on the consequences of concentration. While Marx believed that concentration caused the impoverishment of the working classes, Schumpeter maintains that concentration facilitates the growing productivity that is the *sine qua non* of capitalism.

The very success of capitalism, though, leads inexorably to socialism because of the social and political consequences of concentration. The affluence of capitalist society encourages the government to intervene in the economy more frequently to secure adequate care for its members. Schumpeter argues that the state's efforts to provide social services are prosecuted in an ineffective manner because they represent the will of an impatient, uncomprehending electorate: "As soon as public opinion becomes at all alive to the duty in question, [it] immediately insists on economically irrational methods of financing [social services] and on lax and wasteful methods of administering [them]."

The growing encroachment of the state on the economy is only one symptom of capitalism's collapse. Big business undermines the social and political structure that makes its existence possible. The predominance of the large firm engenders anti-capitalist sentiments among its smaller competitors, its employees, and even its owners. Additionally, big business alienates a class that is uninvolved with its role in the economy, the intellectual class. Intellectuals hasten the transition to socialism by making each segment of capitalist society aware of its reason for discontent.

The first and most significant casualty of concentration is the small entrepreneur. Big business extirpates the class of small businessmen who are the political pillars of capitalist society. The small businessman is unable to compete with huge organizations that have the most effective productive and administrative techniques at their disposal. As a consequence, the legal foundations of capitalism, private property and free contracting, are undermined. Large corporations are incompatible with labor markets "regulated by individual choice with an indefinite number of possibilities." Rather, individual bargaining is replaced by giant concerns negotiating with one another or with unions, huge masses of workers. Moreover, the capitalist process weakens the meaningfulness of private property by "substituting a mere parcel of shares for the walls of and machines in a factory." Schumpeter labels this phenomenon the "evaporation of the substance of property." In short, the "foreman class" of small entrepreneurs is stripped of the legal and physical entitlements that are the underpinnings of its allegiance to capitalist society. The political consequences of this alienation are self-evident.

The effect of the evaporation of substantive prop-

erty is not limited to those unaffiliated with large firms. Employees of giant firms are alienated by the sheer size of the units that employ them, and by the necessarily impersonal atmosphere that such units generate. Intimate relations between owner and executive are abolished by absentee ownership and other more attenuated methods of control that modern capitalism engenders. The result of these practices is a pervasive indifference on the part of workers at whatever level towards the firms that employ them; such attitudes are the perfect preparation for a socialist economy in which no private property is permitted.

Thus, the executives of big business gradually become "salaried bureaucrats," no different in their attitudes than government employees.

Concentration not only dehumanizes the relationships between employer and employee, but also removes individuality from innovation as well. The technical compexity of modern society and the huge costs of researching and implementing new production techniques preclude the possibility of a small entrepreneur discovering a new method of production or marketing a new type of product. Progress itself is "mechanized"; group effort replaces individual endeavor and the trained technician replaces the old style entrepreneur in a world of increasing specialization. The mechanization of progress is apparent in the procedure for research of the large firm: trained teams engage in particular aspects of a problem so that there is little room for personality and vision. Big business, rather than the intrepid individual facing the possibility of financial ruin, is the catalyst of change and creativity. Schumpeter, the inveterate romantic, likened this trend to one in military history. At one time the drive of an exceptional individual, like Napoleon, was sufficient for success in war. Now, however, war, like big business, is a matter of specialization and committee, not individuality.

The implications of the mechanization of progress lead directly to one of the most crucial and controversial aspects of Schumpeter's argument, the proposed relationship between big business and investment. For if progress is possible only with significant financial resources and large numbers of trained specialists, then only giant concerns can engage in innovation. Indeed, the decisive role that the large scale unit of control plays in investment is reinforced by the evolutionary nature of the economy. The modern capitalist economy is constantly changing in terms of productive and administrative techniques and in demands for goods, and services. Investment cannot be undertaken in this "gale of creative destruction" unless the entrepreneur has sufficient safeguards to assure a reasonable change of success. Schumpeter argues that large firms will be responsible for proportionately more and more innovation because they can engage in monopolistic practices of restriction (patents, pricing strategies) that reduce the risk of investing in the "gale":

> [The economist] does not see that restrictions of this type are, in the conditions of the perennial gale, incidents . . . of a long run process of expansion which they protect rather than impede.

Clearly, an empirical evaluation of Schumpeter's theories must investigate the connection between the size of a business unit and the amount of research and investment it initiates.

Certainly, Shumpeter's conclusions are contrary to the more orthodox models of free enterprise that originate from the work of Marshall and Wicksell. Yet, even economists who differ greatly from Schumpeter on the gamut of economic issues are allured by this proposition. John Kenneth Galbraith is decidedly Schumpeterian on this point:

> There is no more pleasant fiction than that technical change is the product of the matchless ingenuity of the small man forced by competition to employ his wits better than his neighbor. Unhappily it is a fiction. Technical development has long since become the preserve of the scientist and engineer . . . . Because development is costly, it follows that it can be carried out only by a firm that has resources associated with considerable size.

As we have seen, the crux of Schumpeter's argument rests on the premise of an inevitable increase in the concentration of business. All the problems of modern capitalism set forth by Schumpeter, the evaporation of property, the destruction of the family, and the alienation of the foreman class, stem from the elimination of small-and medium-sized firms and their replacement with a few industrial giants. Thus, there are two distinct but related questions to investigate: has concentration occurred in the United States' economy in the last fifty years, and does the proposed relationship between investment and firm size make concentration inevitable?

The empirical evidence on concentration is sufficient to serve as a partial indictment of Schumpeter's theories. Henry Einhorn, using the methodology for measuring concentration trends in American industry laid out in Warren Nutter's 1951 study, found that between 1939 and 1958 "the share of domestic output originating in monopolistic industries declined while the share of domestic output originating in competitive industries increased." As with any statistical study, Einhorn's results must be interpreted with great care. He defines a monopolistic industry as one in which

"price and output decisions are effectively determined by the top four firms." Therefore, an extremely large firm with significant market control could still be classified as competitive. However, even allowing for definitional discrepancies and a generous amount of measurement error, concentration did not progress in the grand, inexorable sweep that Schumpeter described in *Capitalism, Socialism, and Democracy*. Morris Adelman, testifying on concentration trends before a subcommittee of the Senate Judiciary Committee in 1965, offered conclusions similar to Einhorn's, although he developed an alternative procedure for measuring concentration. Adelman calculated the weighted average of a firm's value added in a given industry and compared that figure with the total value added from all firms within that industry. The resulting ratios led Adelman to conclude that:

> I do not see any escape from the conclusion that "overall concentration" in the largest manufacturing firms has remained quite stable over a period of 30 years, from 1931 to 1960. I cannot conceive of any circumstances which would so affect the statistics that they failed to register an increasing concentration . . .

Trends in concentration, particularly in manufacturing and petroleum-producing, have accelerated enough since 1963 to make a categorical rejecton of Schumpeter's contention imprudent. However, there is some argument as to the significance of the post-1963 studies because they examine industries (petroleum, cars, iron and steel) that have the strongest tendency to merge. Interestingly, the findings of the *Staff of the Cabinet Committee on Price Stability* make the strongest claim for a large increase in concentration. Yet, the Staff report concluded that this concentration was responsible for "higher prices, poor product quality, and misallocation of resources." Ironically, the data that most strongly support Schumpeter's contentions are used to draw conclusions contrary to his own.

Clearly, empirical findings considerably weaken the case for concentration. This, in turn, has implications for the related question of business size and the amount of investment a firm engages in. Obviously, if it is argued that the investment/monopoly relationship gives impetus to concentration, and concentration is found to be relatively absent, then the relationship between investment and business size is itself in peril. George Stigler rejects the relationship by pointing out that even if huge firms have a lower cost per unit of production that might merely reflect their power to coerce smaller suppliers to provide inputs at "unusually low prices." Stigler cites some empirical evidence to support this thesis, and further argues that "the persistence of small- and medium-sized companies in industries dominated by big business [demonstrates] that there can be no great advantages to size." This point of course, returns to the issue of concentration; in the absence of concentration much of Schumpeter's attack on the inefficiency of atomistic markets loses its cogency. Stigler's observation indicates that the foreman class is more hardy than Schumpeter believed. Stigler also points out that the proposed causation between size and innovation can run in the other direction: Ford Motor Car Company grew as a result of one man's ingenuity and innovation.

Empirical tests of the relationship between research, investment, and corporation size yield mixed results which do not exclusively confirm or deny Schumpeter's work. Richard Nelson, Merton Peck, and Edward Kalachek found that while research and development expenditures come primarily from large firms (firms with greater than 5000 employees), there is no reason to believe that merging these firms into even larger ones would engender any tendency towards proportionately higher investment. In fact, Fredric Scherer found that the 1955 Fortune 500 firms undertook proportionately less investment and research per dollar of assets than their smaller competitors. Nelson, et al. conclude that in specific areas of industry, large firms do have an advantage by virtue of their size. However, no single firm size can safely be labelled optimal for investment, and the different types and stages of investment are best accomodated by firms of differing sizes. Obviously, their conclusions support Stigler's assertion that small firms can function effectively in industries dominated by large corporations. As in the case of concentration, empirical tests of Schumpeter's propositions allow at best a suspended verdict.

Perhaps the one measurable symptom of declining capitalism that conforms quite closely to Schumpeter's model is his forecast of the growth of government. In 1929, when Schumpeter was still writing *Capitalism, Socialism, and Democracy*, total government expenditures comprised 11 percent of the GNP. By 1977 that figure had climbed to 37 percent, and the corresponding figures were even higher for Germany and Great Britain. Transfer payments, only 3 percent of the 1930 total wage-and-salary bill, increased seven times by 1977. Schumpeter's contention that the state's provision of social services is conducted in an economically irrational manner has been the basis for much of the criticism of the welfare system. In fact, Arthur Burns, in evaluating Schumpeter's work, concluded that Schumpeter did not fully appreciate the inimical effects of a growing government. Burns argued that America's

inflationary problems are directly attributable to the government's imprudence and pose a more formidable threat to society than any other economic malady. Although he feels Schumpeter did not grasp the significance of inflation, Burns concludes "there is no denying that most of what has happened in recent decades in countries that boast of practicing free enterprise fits rather closely [to Schumpeter's] theoretical model."

Othe other factor that cannot be measured empirically but plays a significant role in Schumpter's argument is the hostility of intellectuals towards the capitalist system. The proposition that intellectuals have an anti-capitalist bias is of particular interest to Yale students; William Buckley, in *God and Man at Yale*, alleged that the Yale faculty inculcates an anti-capitalist dogma in its students. It would, of course, be absurd to contend that all intellectuals are hostile to the capitalist system. However, a brief review of the mainstream of American historiography from 1900 to 1940 would certainly confirm Schumpeter's assertions. The main thesis of Charles Beard's *Economic Interpretation of the Constitution* is that the members of the Convention of 1787 developed a document that reflected and protected their property interests. Although Beard's work is not polemical, it contains the silent implication that American's Founding Fathers acted out of financial self-interest rather than a sense of public duty. Beard's antipathy towards capitalism is more apparent in *Rise of American Civilization*. In this work, he argues that the exploitation of natural resources in the nineteenth century and the high tariffs of the time were due to the influence of industrial capitalists, using the Republican party as an instrument of their interests. Louis Hacker wrote that "[Beard is] a major force in accounting for the anti-capitalist bias to be found in much of recent American historical writing." Matthew Josephson, a prominent historian of the 1930s, argued that the social consequences of capitalism were a class system, slums, and the subordination of agriculture to big business. Josephson, in *The Robber Barons*, contends that most of the great American fortunes were acquired through fraud and that American resources were looted in the process. Josephson and Beard were not Marxists and it is certainly not the task of an historian to write panegyrics to the economic system he lives under. However, a review of American historiography indicates that the main body of interpretation has been decidedly anti-capitalist.

Moreover, many contemporary critics of American capitalism offer far less objective analyses than Beard or Josephson did. In a 1972 article for the magazine *Liberation*, Herbert Marcuse decried capitalism's effects on the environment. Yet, he did not discuss the Soviet Union's more blatant disregard for its environment, planned economy notwithstanding. Similarly, Erich Fromm decried the adverse psychological effects of "quantification" and "abstractification" that capitalist society causes. He, too, omitted a consideration of similar problems in planned economies which require even more quantitative techniques to function than market economies. The polemical nature of their positions is indicative of an attitude held by many who comprise the "New Left"; Lewis Feuer calls it "an irrational opposition to capitalism." Certainly, this attitude confirms Schumpeter's comment that "the role of the intellectual group consists primarily in stimulating, energizing, verbalizing, and organizing [anti-capitalist sentiment] and only secondarily in adding to it."

In the half century that has elapsed since Schumpeter published *Capitalism, Socialism, and Democracy*, the theme of his work has become, at least implicitly, part of the American political agenda. As with most economic treatises, the empirical evidence relevant to Schumpeter's model speaks ambiguously. Concentration has not proceeded at the pace he anticipated, nor has the relationship between business size and investment been firmly established. Moreover, to the extent that concentration has occurred it has not resulted in significantly improved productivity; rather a recent decline in productivity has plagued the United States and its politicians. The strongest aspect of Schumpeter's work is his forecast of the growth of government. As Arthur Burns pointed out, the rampant inflation that has crippled the economy and inequitably divided society into winners and losers is directly attributable to an inefficient, overly-bureaucratic government.

In all likelihood, Schumpeter underestimated the vitality of the small businessman, who has shown himself able to compete with large firms, and the viability of the capitalist system itself. The most important consequence of Schumpeter's work is not that it serves to exonerate poor political direction of the economy, but its tacit indication that the interests of the business community and of consumers are best served by limiting the extent of the government's role in the economy.

Words of War

Jefferson Morley

When should the United States go to war? Various right-wing and neo-right-wing writers* are now offering answers that, for all their differences in detail, reiterate one theme: since the end of the Vietnam War, the U.S. has too quickly renounced the use of military force as a foreign policy tool.

The U.S., and the West in general, has "lost its nerve," its "will," even succumbed to a "culture of appeasement," this argument insists. Without the support of American military strength, allies have abandoned us, without its threat, enemies have flourished. A less pacific, more assertive war policy, it is claimed, would reestablish American world leadership and promote the values we cherish.

That the U.S. has lost, at least relatively, some capability to wage war is a common, but not essential, feature of the argument. In fact the military force advocates, judiciously wishing to avoid losing propositions, now tend to concentrate their policy suggestions in regions like Latin America where U.S. forces could be put in action quickly and could, on paper, overwhelm all other forces. In these regions little preparation would be needed for war. Policy ideas could quickly become policy facts. Thus the Right's war proposals deserve study.

A fair summary of right-wing war recommendations would include three guidelines:

(1) The U.S. should use war as a tool of last resort to prevent the advance of international communism directed by the Soviet Union. The Right declares that the USSR constitutes a "present danger" to the U.S. One of the most immediate forms this danger assumes is Third World rebellions under Moscow's sponsorship.

Thus, while noting that it had no objection to "truly indigenous movements," the *Wall Street Journal* recently asserted that "the revolutions of Central America are, on the whole, stage-managed from Cuba and Moscow and thus represent a genuine security threat to the U.S." (Jan. 7, 1981, p. 24). The Right holds that this is true the world over, and if diplomacy, technical assistance, and military aid cannot end the subversion, U.S. intervention is warranted.

The *Journal's* confidence about the origins of the Central American revolution springs from a deeper faith. This faith satisfactorily explains, in one of two ways, every possible example of that world rebellion. Either (a) a rebellion is not truly indigenous, in which case it is directed from the Kremlin and deserves our vigorous opposition, e.g. Nicaragua; or (b) the rebellion is truly indigenous but is unfortunately situated and aids the Communists' geopolitical designs, in which case it must be resisted with equal determination, e.g. Iran.

Right wingers in the Reagan administration and elsewhere have never admitted a single exception to this proposition. Third World rebellion may be justified in theory, and perhaps in retrospect, but never in fact. Never.**

(2) The U.S. should go to war rather than let American values be replaced by anti-American values. (This may seen axiomatic from the first proposition but it has its own set of rationales and implications.)

The Right generally defines major American values (in declining order of importance) as (a) personal liberties, meaning freedom from turmoil, freedom of movement, freedom of family association, freedom of worship; (b) economic freedom, meaning freedom from state interference in commerce, consumption, and employment; (c) political freedom, meaning freedom of speech and press, free elections.

The Right and the neo-Right tend to divide on this principle, the neo-Right arguing that the U.S. must act, not just as another superpower but as "the party of liberty" (Patrick Moynihan's phrase). The traditional Right tends to be wary of such abstract sentiments; it wants to defend allies; if liberty is thus preserved, fine. If not, that's fine too.

Jeanne Kirkpatrick, a former Georgetown University professor, so cleverly combined these two positions that she landed the job as U.S. Ambassador to the U.N. In a November 1979 *Commentary* article that deeply impressed Ronald Reagan, Kirkpatrick argued that defending our allies, even dictatorial ones, was a way to defend liberty. Indeed, she claimed it was the only way to defend it.

*I focus on the writings of Jeanne Kirkpatrick and Norman Podhoretz. Other expressions of similar opinions can be found in "The Uses of American Power" by Robert Tucker in the Winter 1980-81 issue of *Foreign Affairs* or in the writing of Roger Fontaine which regularly appears in the *Washington Quarterly*.

I call these writers right-wing—as opposed to conservative or neo-conservative—relying on a dictionary. I define conservative as "traditional in style or manner; avoiding change." As far as foreign policy goes I see nothing conservative about right-wing views. This article attempts to prove this thesis.

**I should amend that to read "Third World rebellion against non-socialist governments." According to right-wing accounts, all rebellions against socialist regimes in the Third World are (a) legitimate and truly indigenous, and/or essential to U.S. geopolitical considerations. In either case such rebellions deserve our diligent support. Again no exceptions are admitted. Faith works in remarkable ways.

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Differentiating "democratic agents of change" from totalitarian agents is not difficult, Kirkpatrick wrote. True democrats "aim at securing governments based on the consent of the governed and believe that ordinary men are capable of using freedom, knowing their own interests, choosing rulers . . ."

If one accepts Kirkpatrick's claim that she can recognize a true Third World democrat, one must be pessimistic about ever locating even one example. Kirkpatrick mentions none and proceeds without hesitation to her main thesis; that in the absence of genuine democrats, local autocrats are preferable to the putative totalitarians.

"Traditional autocrats leave in place existing allocation of wealth, power, status, and other resources which in most traditional societies favor an affluent few and maintain the masses in poverty," Kirkpatrick wrote. "They do not disturb the habitual rhythms of work and leisure, habitual places of residence, habitual patterns of family and personal relations. Because the miseries of traditional life are familiar, they are bearable to ordinary people . . . who acquire the skills and attitudes necessary for survival in the miserable roles they are destined to fill. Such societies create no refugees."

The U.S. need not support those who "invoke the rhetoric of popular liberation. It is not even necessary or appropriate for our leaders to foreswear unilaterally the use of military force to counter military force," Kirkpatrick concluded.

(3) The U.S. should go to war to insure that raw materials essential to the functioning of the U.S. economy are not unfairly denied. The neo-Right has not been shy about discussing the possibility of conquering Middle East oil fields were the Arabs to cut us off. This type of talk makes the traditional Right oil company presidents and the like nervous because it knows that Aramco, not *Commentary*, butters its toast. The traditionalist would generally go as far as to say that the world economy now functions about as effectively and as equitably as can be expected, and would only function better if free enterprise were more widespread. The intellectual neo-Right extends the argument by saying that radical tampering with the world economy can constitute, not just foolishness, but an "act of war." That's what Norman Podhoretz, editor of *Commentary*, calls the OPEC price increases of 1973 and 1974, and his favored response is uncomplicated: "military action."

The suggestions of the Right are, I think, best studied from a conservative point of view. By conservative I mean from an attitude that emphasizes prudence, shows concern for the long-term future, and considers history carefully before attempting to impose any design on it.

Consider history: It is striking that, for all of the Right's admiration of American power, right-wing writers rarely study decisions that led the U.S. into its last great exercise of power, the Vietnam War. The Right eagerly describes the Establishment's loss of nerve and routinely criticizes the role of adverse intellectuals in the anti-war movement. It implicates both in the eventual loss of the war. But the Right skirts around the period from 1965 to 1967 when the Establishment, and Congress, and the Departments of State and Defense, and the major media outlets, and, most importantly, the President, all believed that the escalation of the Vietnam War was important and necessary. Right-wing polemicists don't often mention that Ronald Reagan is not the first man to sit in the Oval Office with an abiding desire to prove American will. Visitors to the White House in 1966 and 1967 could scarcely finish their how-do-you-dos before Lyndon Johnson would pungently insult those who doubted the war's success, and insist that, no matter what the complications, Communist aggression must be answered with the demonstration of American military strength.

Johnson's assumption shared today by Reagan and the Right was that military power would succeed where other methods failed. This belief is less illogical than overstated. Obviously war will achieve goals that diplomacy will not. But sometimes war will fail, too, as Lyndon Johnson eventually learned.

Nevertheless Podhoretz can devote a chapter of his recent book, *The Present Danger*, to Vietnam and still avert his eyes from the central question that agonized the Johnson Administration: "Why was it that more and more U.S. force in every conceivable category had so little effect on America's ability to achieve its war aims?

Podhoretz notes correctly that Vietnam led to a "loss of clarity" in U.S. policymaking. And he poses a series of questions that, had they been asked in the 1960's, would have clarified U.S. policy and perhaps avoided the mistake of escalation: Was the war intended to stop Soviet expansionism? Chinese expansionism? Or was it a civil war of importance only to the Vietnamese? And at a simpler level: Was Vietnam an appropriate and favorable place to apply the policy of containment? Could the war be won? What would be the consequences of losing? These are sensible questions worth answering even today. The problem is Podhoretz never answers them. Not in the context of Vietnam, nor in that of any contemporary Third World conflict.

It is less than assuring to see the same assumptions that guided Lyndon Johnson into the spectacularly unsuccessful escalation guide Podhoretz into the near future. Podhoretz expresses anger over the fall of the Shah and laments that U.S. policy in 1978 was not committed to "doing whatever was necessary" to prevent it. Such a policy, Podhoretz estimates, would have required "American acquiescence in the massacre of many thousands of demonstrators by Iranian troops."

Podhoretz evidently believes his casual candor

about the ugly facts of repression shows that he is without illusions about the use of power; in fact, it proves the contrary.

First, it assumes that the clarifying question, however important in Vietnamese decisions, are now unnecessary. The chances of success are total. The consequences for failure are unimportant (since the policy cannot fail). Second, it ignores the fact that the U.S. had already acquiesced in the massacre of thousands of dissidents in SAVAK jails, and those deaths, far from preserving the Shah's reign, greatly contributed to his downfall.

Third, it neglects the Vietnam experience. Former Secretary of Defense Clark Clifford has described going to top U.S. generals in late 1967 and asking them if the 200,000 troops they had requested (in addition to the 500,000 that were already in Vietnam) would help win the war. "We're not sure," was the generals' reply. Would they help shorten the war? "We don't know," the generals said. Will more troops be needed after the 200,000? "We don't know." Clifford, by no means a leftist, persuaded Johnson to stop the escalation of the war. Doubts about the practicality of U.S. power displacing broadly-based, entrenched Third World movements demand consideration. They come not just from gutless intellectuals, but from steely-eyed four star generals.

Lyndon Johnson also believed that American might was an undrainable vessel. (In time Johnson learned he was wrong, but this is a lesson the Right resists.) In 1978, for example, the Right would have had us supporting the Shah and General Somoza in putting down internal rebellions. Given the ultimate failures of these leaders to crush their opposition, it seems fair to suppose that the Right would have had us intervene at some point, if only to encourage the massacre of the unruly. And if the slaughter failed to end the dissent, the Right presumably would have elevated the nature of our aid from the spiritual to the tangible. Given the overwhelming majorities of the population that opposed the U.S. preferred rulers, it is possible that these wars would have taken the U.S. a long time to conclude successfully. But waging war, even for just a year, would involve a large government role in the allocation of capital, the increase in taxes, and possibly conscription of the young, all of which the President and his party oppose. A prudent politician would consider these consequences before entering a war (much less two). An honest politician would describe these consequences to the public. Politicians of the Right have done neither.

A frequent and not implausible rejoinder to this argument is, that, the U.S. would not necessarily be overly combative. If the U.S. demonstrated its will on behalf of one or two allies, it could be that left wing mischief in many countries would be discouraged. While not implausible, this argument is not supported by fact. Consider the period when U.S. military might was unchallenged in the world. In 1950 we intervened on behalf of the South Koreans, but in 1952 the left-wing government of Iran threatened American oil interests. The CIA deposed the government in 1953, but in 1954 leftists seized power in Guatemala. The CIA also arranged that government's demise but discontent continued to grow in Cuba and so on. It is safe to say that there is not, and never will be, any correlation between the exercise of U.S. military force and Third World obedience.

Another common premise of right-wing writers should be recognized. Whatever the original merit of various Third World revolutions, this line of thought says, they were later subverted, taken over by Communist or Soviet proxies. This Communist involvement severs the umbilical cord of historic legitimacy. "Stage managed" revolutionary movements must be judged in a different light.

Even if one accepts the proposition that Communist involvement automatically destorys a movement's independence (and I do not), right-wing war recommendations still seem inadequate. Specifically they are contradictory, self-serving, and ultimately self-destructive.

For example, Kirkpatrick's distinction between her hypothetical democrats and her "totalitarian movements" that toppled Somoza and the Shah is by no means as clear as she wants us to believe. Both the Nicaraguan and Iranian revolutions had the overwhelming consent of the population. The leaders they deposed had narrow bases of support. The new Nicaraguan and Iranian governments have not sponsored meaningful national elections where ordinary men could express their interests and choose rulers. Neither did the previous regimes. Kirkpatrick's major claim for autocratic rule is that it did not disrupt traditional society or create refugees. The Sandinistas have somewhat disrupted traditional life but the people are not unhappy about it. The Shah disrupted traditional Iranian life far more than the new regime has. And neither revolution has spawned refugees (save members of the ruling families fleeing with Swiss bankbooks in hand).

Thus in balance, using Kirkpatrick's own criteria, the insurgents in Nicaragua and Iran had more claim to U.S. sympathies than did the incumbent heads of state. The rebels at least met the standard of consent of the governed. Kirkpatrick, though, supported the Shah and Somoza. Recall the law that the Right can support Third World rebellion in theory but not in fact. The new U.S. Ambassador to the U.N. enriches our understanding of this proposition by advocating we wage war on behalf of those who do not live up to our ideals and *against* those who do.

Kirkpatrick's case depends on the skillful flashing of the cue cards of American idealism—"consent of the governed," "habitual rhythms of work and lei-

sure," "no refugees"—to obtain a prompt response rather than a thoughtful answer. Her concern for people struggling to survive "in the miserable roles they are destined to fill" is touching, but it indicated her commitment to other American ideals—equality of opportunity and the pursuit of happiness, to name two—is minimal.

The problem is not with the paradox of a regime that espouses some of our values and rejects others; accepting inconsistencies is a virtue of conservative thinking. It reflects a pessimism about man's ability to remake the world. The trouble is that the Right views its inconsistency as being perfectly consistent, its selective idealism as perfectly ideal. When it comes to proposing war, identifying allies and enemies, thinking about long-term goals, such faulty vision can be hazardous to the health of the argument, if not the nation.

No one proves this better than the outspoken Podhoretz. He carries the Right's propositions farther than the more traditional would like or the more discreet would dare. His frankness conceals nothing, not even the disastrous implications of what he says. When the oil-rich nations raised the price of their product to what the market would bear, Podhoretz recommended punishing the upstart sheiks with war. Thus in Podhoretz's view those who believe in the free market, in free enterprise, and in property rights, deserve to die, or at least, have their wealth confiscated. These are not conservative sentiments. If Podhoretz were as vigilant at home as he is abroad he might well advocate a preemptive strike on the University of Chicago Economics department.

Other difficulties are apparent. Launching a war against OPEC countries would require attacking one very loyal ally, Oman (the only Arab nation to support the Camp David agreement), and several moderately friendly countries as Saudi Arabia, Kuwait, and the United Arab Emirates. Other U.S. allies might begin to wonder if the U.S. would demonstrate similar friendliness toward them.

A war against OPEC, if thoroughly executed, would also involve attacking Venezuela, a flourishing parliamentary democracy. If the destruction of freely elected, capitalist governments is a Communist goal, Podhoretz could be accused, not only of appeasement, but also of fellow-traveling. His war would also disappoint his co-religionists on the Right. The occupation of the Middle East would lack the consent of the governed, and would prevent the ordinary man from choosing his own ruler. It would probably even create refugees. Kirkpatrick would not be pleased. And it would confirm the Soviets' Third World sales pitch: that the U.S. is an aggressive, imperialist, colonialist power. One yearns for Podhoretz to answer—or even ask—one of his clarifying questions. After saving so little regard for his own precautions and principles one can only conclude that Podhoretz has not proposed policy; he has thrown a temper tantrum.

What is ultimately most revealing, and most disturbing about Podhoretz's temper tantrum is that it is considered by the Right as an act of statesmanship. Sen. Patrick Moynihan calls the man who wants to put the Marines in the streets of Riyadh "indispensable." Sen. Henry Jackson, calls Podhoretz a voice of "reason and experience." Henry Kissinger, calls *the Present Danger* an impressive performance." Arnaud de Borchgrave, *Newsweek's* chief foreign correspondent, calls the book "a highly credible recipe for salvation." Yale Law School professor Eugene V. Rostow says Podhoretz's argument is "unanswerable" and "worthy of Thomas Paine." The comparison of Podhoretz, advocate of colonial war, with Paine, fierce anti-colonialist, epitomizes the Right's thinking: its logical sloppiness and its moral inversions.

It would be bad form, if not bad politics, to criticize the Right without alternatives to its mistaken war proposals. I don't have any specific recommendations, but I will suggest that three conservative principles could usefully inform U.S. war policy.

(1) What may be true at home is certainly true abroad: the U.S. government's capacity to effect social change is limited. Even killing people will often be ignored. It will be costly besides.

(2) People want liberty: Third Worlders, like Polish workers, are not content with miserable roles. These aspirations should not be scorned or attributed, *Pravda*-style, to foreign infection.

(3) Uniformity cannot be imposed; take what you can get: Socialist ideology will inevitably appeal to the Third World because of its emphasis on cooperative effort and the success of the USSR and China in escaping backwardness quickly.

To these I would add a final principle that, while not conservative, is still sensible.

(4) Once a Soviet ally not always a Soviet ally: Robert Mugabe used Soviet guns and rhetoric to force the Rhodesian government to the negotiating table. Now that he runs the country he hosts American businessmen and will not issue visas to the Soviets. Similar events have occurred in Tanzania and Egypt, and could conceivably happen in Nicaragua. The IRA terrorists buy machine guns from the Czechs, the East Germans, and the Cubans, but no one has advocated sending U.S. troops to Northern Ireland to halt the Communist menace.

Yet.



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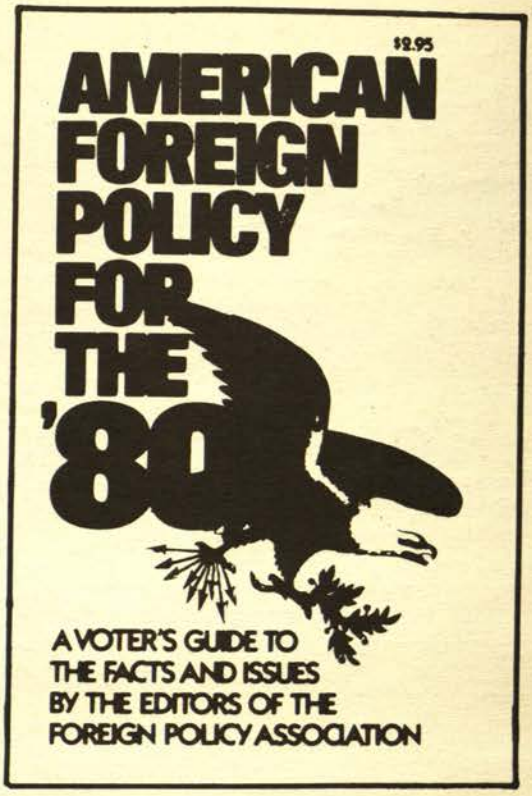
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